**8. INCOME TAXES**

Income tax expense for years ended December 31, 2003, 2002 and 2001 consists of the following:

| | 2003 | 2002 | 2001 |
|---|---|---|---|
| Current tax expense | | | |
| Federal | $12,210,000 | $10,319,000 | $10,197,000 |
| State | 3,062,000 | 2,661,000 | 2,493,000 |
| Foreign | 14,000 | 149,000 | 26,000 |
| | 15,286,000 | 13,129,000 | 12,716,000 |
| Deferred tax benefit | | | |
| Federal | (301,000) | (1,919,000) | (3,462,000) |
| State | (102,000) | (271,000) | (845,000 |
| Foreign | (252,000) | 15,000 | — |
| | (655,000) | (2,175,000) | (4,307,000 |
| Income tax expense, net | $14,631,000 | $10,954,000 | $ 8,409,000 |

Following is a reconciliation of the U.S. Federal statutory rate to the effective rate for the years ended December 31:

| | 2003 | 2002 | 2001 |
|---|---|---|---|
| Federal tax computed at statutory rate | $12,126,000 | $ 9,196,000 | $7,051,000 |
| State taxes on income, net of federal tax benefit | 1,860,000 | 1,414,000 | 1,058,000 |
| Valuation Allowance | 993,000 | 115,000 | — |
| Other, net | (348,000) | 229,000 | 300,000 |
| Income tax expense, net | $14,631,000 | $10,954,000 | $8,409,000 |

Net deferred tax assets are as follows:

| | 2003 | 2002 | 2001 |
|---|---|---|---|
| Deferred tax assets | | | |
| Net operating loss carryforwards | $ 1,169,000 | $ 884,000 | $ 1,007,000 |
| Reserve on assets | 716,000 | 618,000 | 667,000 |
| Liabilities not yet deductible | 11,139,000 | 9,030,000 | 6,780,000 |
| Deferred revenue | 2,598,000 | 3,235,000 | 3,620,000 |
| Depreciation | 3,524,000 | 2,337,000 | 1,393,000 |
| Amortization | 187,000 | 615,000 | 1,067,000 |
| Other | 645,000 | 762,000 | 553,000 |
| Valuation allowance | (1,220,000) | (193,000) | — |
| | 18,758,000 | 17,288,000 | 15,087,000 |
| Deferred tax liabilities | | | |
| Amortization | (101,000) | — | — |
| Depreciation | (1,171,000) | (312,000) | (287,000) |
| Net deferred tax assets | $17,486,000 | $16,976,000 | $14,800,000 |

As of December 31, 2003 the Company has federal net operating loss carryforwards of approximately $1 million, which are subject to annual limitations and are available to offset certain current and future taxable earnings and expire at various dates, the earliest of which is December 31, 2010. The Company has net operating losses in a number of states totaling approximately $2.1 million, which may only be used to offset operating income of certain of the Company's subsidiaries in those particular states. The Company also recorded a tax benefit of approximately $250,000 relating to a net operating loss in the United Kingdom, which can be carried forward indefinitely. Management believes the Company will generate sufficient future taxable income to realize net deferred tax assets prior to the expiration of the net operating loss carryforwards recorded and that the realization of the net

deferred tax asset is more likely than not. The Company has recorded valuation allowances on certain deferred tax assets related to losses in foreign operations where it does not have a history of profitability as well as certain liabilities recorded which are subject to being settled in cash in order to be deductible, the timing of which is uncertain.